(Answer: Year 2: Share capital: 127%; Reserves and surplus: 100%; Non-current liabilities: 110%; Current liabilities: 150%; Total equity and liabilities: 120%; Fixed assets: 118%; Non- current investments: 125%; Inventories: 110%; Cash & cash equivalents: 150%; Total assets: 120%; Year 3: Share capital: 106%; Reserves and surplus: 150%; Non-current liabilities: 120%; Current liabilities: 200%; Total equity and liabilities: 125%; Fixed assets: 103%; Non- current investments: 150%; Inventories: 120%; Cash & cash equivalents: 200%; Total assets: 125%)

CASE STUDY

Ravi and Raheem entered into a partnership business of buying and selling of electronic goods. Their business was successful. They wanted to expand their business. But, they did not have enough money to do so. Hence, they converted it into a private limited company and registered it as Ravi and Raheem Ltd. In the first two years, they were busy with the legal formalities, recruitment of staff and maintenance of many accounting records. They prepared financial statements as prescribed by the Companies Act, 2013. After five years, they were so curious to know if the business was performing well. They compared their business results with that of a sole trader's business.

Now, discuss the following:

Who would be interested to assess Ravi and Raheem Ltd's financial statements and why?

Why does Ravi and Raheem Ltd need to follow Companies Act, 2013, in the preparation of financial statements?

Suggest some tools for Ravi and Raheem Ltd to analyse its financial statements.

Which would be the best tool to analyse, if Ravi and Raheem Ltd wants to compare data of more than three years?

Ravi and Raheem Ltd wants to know if their employees are skilled and motivated. Is it possible to analyse this from its financial statements?

What do you think of Ravi and Raheem Ltd's decision of comparing its results with that of a sole trader? Will it give a fair result?

To explore further

Is it possible to combine the numerous figures in the financial statements under common heads and analyse financial statements?

Reference

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12th-Accountancy-Unit-08.indd 292 12/9/2021 10:52:34 PM